



Individual responses to competing institutional logics in emerging markets

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ABSTRACT

In this paper, we study individual responses to competing institutional market and community logics. We argue that when individuals experience strong pressures both from market and community logics in hybrid contexts, they are unlikely to choose one logic over another. Instead, they combine both logics act as hybridizers. We identified three roles of local (Kazakhstani and Turkish) managers as hybridizers: bridging between competing logics, boundary spanning and cultural buffering.

1. Introduction

The influx of foreign direct investment (FDI) and the arrival of multinational enterprises (MNEs) have been highly influential in the development of contemporary management practices in emerging markets (Chen & Miller, 2010; Chen, 2008; Chen, Xie, & Chang, 2011, 2011; Faure & Fang, 2008). The western management practices that have been introduced as emerging economies open up to outside influences reflect capitalist market logics that emphasize competition, effectiveness, and efficiency (2004, Thornton, 2002). In contrast, indigenous management practices are deeply rooted in community logics (Greenwood, Díaz, Li, & Lorente, 2010; Marquis, Glynn, & Davis, 2007; Marquis, Lounsbury, & Greenwood, 2011; Marquis, Lounsbury, & Greenwood, 2011), and embedded in social structures in which moral and relational obligations feature more prominently (Oyserman, Sakamoto, & Lauffer, 1998). The contrast between western and indigenous management approaches reflects different institutional logics rooted in institutional orders that dictate contradictory (and often incompatible) rationales for managerial decision-making (Hotho, Minbaeva, Muratbekova-Touron, & Rabbiosi, 2020).

This institutional complexity (Saka-Helmhout, Deeg, & Greenwood, 2016) has not been adequately addressed in the international business (IB) literature (Newenham-Kahindi & Stevens, 2018) and it has been largely overlooked at the individual level (Hotho et al., 2020). In emerging markets, individual managers working for western MNEs experience strong pressures from competing logics on a regular basis, and their responses to these competing logics play an important role in

shaping organizational outcomes (e.g., Almandoz, 2012; Battilana & Dorado, 2010). It is extremely important to understand these individual responses, especially in the context of emerging economies, as MNE subsidiaries in these countries are facing ever-increasing pressure to conform to local cultural, institutional, and legal expectations that sometimes directly contradict MNEs' practices. Accordingly, the goal of this study is to explore these issues by addressing the following question: In emerging economies, how do individual decision-makers respond to competing institutional logics?

We build on the institutional complexity literature (e.g., Pache & Santos, 2013) and translate its core arguments to the individual level using theoretical insights from organizational behavior theory (e.g., Bazerman, Tenbrunsel, & Wade-Benzoni, 1998). We develop a central hypothesis about individual responses in the context of high hybridity, which occurs when individuals experience strong pressures from both market and community logics, and we unpack the role of these individuals as hybridizers. Using quantitative data collected through vignette-based experiments, we show that when individual managers working in the subsidiaries of western MNEs located in Kazakhstan and Turkey experience strong pressures both from market and community logics, they are unlikely to choose one logic over another. Instead, they develop workable solutions that allow them to combine the two competing logics and act as hybridizers. Through our qualitative inquiry, we further unpack the role of hybridizers into three behaviors: bridging between two competing logics, boundary spanning, and cultural buffering.

The contributions of this paper are threefold. First, in contrast to the

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